

International Work Policy

Countries included in this guide:

Canada

China & HK

Czech Republic

France

Germany

Italy

Netherlands

Poland

Portugal

Slovakia

Spain

Switzerland

United Arab Emirates

United Kingdom

United States of America

Introduction

Digital communication through high-speed internet has allowed the widespread adoption of remote working policies. Millions of employees are now able to better balance their aspirations for both their professional and personal lives. Increasingly, employers face pressure to allow employees to work remotely across borders. Employees may either work for significant periods of time from a home or other location in a completely different country from their employer's base. Alternatively, they may be frontier workers, frequently crossing borders as they pursue a "hybrid" working model from a home and office located in one or more different countries. Once borders are crossed, legal, tax and other regulatory compliance issues can pose significant operational headaches for employers managing compliance risks.

Examples of Risks associated with International Remote Work:

- An individual working remotely from another country ('Host Country') may trigger additional tax liabilities for both themselves and their employer.
- Depending on the facts & circumstances - this may involve exposing profits of the employment entity to Corporation Tax in the country the employee works remotely from (Host Country).
- The employee might be relying on their employer to withhold Income Tax via payroll accurately, and be unaware of any additional liabilities or refunds that can be claimed.
- Similarly, the employer may not be aware of the correct payroll mechanisms & deadlines applicable in their employee's country of work (Host Country), leading to a risk of penalties and fines.
- The employer might, therefore, be overpaying and over-withholding tax and social security contributions in the country it is based in ('Home Country') as compared to the country the employee is based in (Host Country).
- The employee may inadvertently gain or jeopardise employment rights. This may occur without either the employee or the employer being aware of it at the time, with potential consequences months or years after the fact.
- The employee and the employer might become liable to social security contributions, and the employee's corresponding state benefits entitlement and protections may change - in some instances without the employee being aware of the consequences.
- The employee may have a right to be present in the Host Country, but not a right to work there. This might jeopardise their employer's future ability to apply for visas or risk other penalties in that Host Country, while the employee may face deportation.